

because the rise in market price had so far outstripped the accumulated surplus that a distribution of the latter would have been insufficient for the purpose.

Example: In 1926 General Electric stock was selling at 360. Four new shares of no-par value were given for each old share of \$100 par value, thus reducing the market price to about 90. To have effected the same result by a 300% stock dividend would have required the transfer of 540 millions from surplus to capital, but the surplus was then only 100 millions. A similar situation existed in 1930 when General Electric shares were again split four for one.

In the case of Woolworth, the original common issue of 500,000 shares was increased to 9,750,000 shares by the following steps, involving both stock dividends and split-ups.

	Total Shares Outstanding
1920: Stock dividend of 30%, reducing the price from about 140 to about 110	650,000
1924: Par value cut from \$100 to \$25, reducing the price from about 320 to about 80	2,600,000
1927: Stock dividend of 50%, reducing the price from about 180 to about 120	3,900,000
1929: Par value cut from \$25 to \$10, reducing the price from about 225 to about 90	9,750,000

American Can combined both devices at one time in 1926. It reduced the par value from \$100 to \$25 and also paid a stock dividend of 50%. Hence six shares were issued for one, and the price was reduced from about 300 to about 50.

Stock Splits and Stock Dividends in No-Par Stock. In the case of common stocks of no-par value, a split-up or a stock dividend leads to exactly the same results, and to all practical purposes they are indistinguishable. Although a stock dividend requires the transfer of a certain sum on the books from surplus to capital, the infinite latitude in accounting permitted by no-par stock may make this transfer a purely nominal affair.

Examples: Central States Electric Corporation paid a 900% stock dividend in 1926, increasing the number of shares (no par) from 109,000 to